Conference Call Notes: India Update

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Conference Call Notes: India Update

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Short-term trajectory:
Long-term trajectory:

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Prime Minister Narendra Modi’s government will ride out the recent protests over the deletion of voters from electoral rolls; the fraying of the ruling Bharatiya Janata Party (BJP)’s electoral coalition is the more durable problem for Modi.
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The conclusion of trade agreements with the EU and Canada in December is expected to boost exports of labor-intensive goods, which could help generate jobs and revive private investment.
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Economic growth is resilient, but the two primary drivers of growth—domestic consumption and government infrastructure spending—are slowing.

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BJP’s caste coalition is fraying

Youth and opposition-led protests that roiled Delhi over the past month have largely dissipated. The protests centered on the deletion of millions of voters from India’s electoral rolls and the conduct of the chief election commissioner. The opposition is expected to take up the issue again, but the government isn’t concerned. It believes the issue is too narrow to mobilize mass opinion. Modi also remains far more popular than any opposition leader, and trust in the government is high.

The more serious problem for Modi is friction between two key components of his electoral coalition: the Hindu upper castes and the more numerous lower-middle castes (known as other backward castes or OBCs). Upper-caste voters, feeling sidelined by the government’s perceived favoritism towards OBCs, have begun voting against the BJP in local elections in northern India. This vote is not yet going to opposition parties but rather to independent candidates. Youth disaffection fueled by high unemployment will compound the BJP’s caste problem. About 30% of college graduates are out of work, with the unemployment rate rising to 40% among graduates under 25.

The near-term challenge for the BJP is local elections in February and March 2027. Four of the five states going to the polls are ruled by the BJP, including Uttar Pradesh, the country's most populous state. Uttar Pradesh is particularly important for the ruling party as it forms the lynchpin of its domination of northern India, but the BJP's single-party majority in the state assembly is now under threat.

With the government unable to address the unemployment problem before February, it is seeking to bolster its position through welfare measures, particularly in healthcare. It is also looking to create a forward-looking narrative around jobs through trade agreements. India's FTAs with the UK, the EU, Canada, and the US will give India preferential access for low-skilled, labor-intensive goods such as apparel, footwear, and jewelry. The government hopes this will generate jobs ahead of the 2029 general elections.

December will see key trade agreements concluded

Modi's travel schedule in December will see India conclude a series of trade agreements:

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Ottawa, 11-12 December: FTA with Canada likely to be signed. Useful for both sides—India gains market access, and Canada demonstrates economic diversification from the US. The two countries are also racing to complete negotiations on a bilateral investment treaty before Modi's visit to Canada.
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Miami, 13-14 December: An FTA announcement with the US is anticipated on the sidelines of the G20. This will essentially be the framework agreement announced in February 2025, with some added detail. The announcement will give President Donald Trump a deliverable while deferring final tariff schedules till the conclusion of the US's Section 301 investigations.
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Brussels and Berlin, 16-17 December: The EU-India FTA is expected to be signed, with the European Parliament's ratification expected in early 2027. India is also likely to sign a pending $8 billion deal to buy German Type 214 diesel-electric submarines.

Combined with existing agreements with the UK, the European Free Trade Association, Australia, New Zealand, the UAE, Oman, and Saudi Arabia, India would enter 2026 with a broad FTA network covering its major export markets.

Economic growth is resilient but under pressure

The government is confident India's economy will grow around 7.5% this fiscal year (ending March 2027). However, the two primary drivers of growth are expected to slow: domestic consumption is increasingly debt-driven, while government infrastructure spending is under mild pressure due to subsidies.

India recorded record FDI inflows of $94.5 billion in the 2025-2026 fiscal year, but net FDI stood at only $7.6 billion due to repatriations by foreign companies and by Indian companies investing abroad. Meanwhile, despite high factory utilization rates, private investment remains muted because of stagnant domestic demand. The government hopes that the FTAs will boost private investment by opening up export markets for Indian goods.

India's targeted fiscal deficit of 4.3% of GDP for 2026-2027 could come under pressure if the conflict in the Middle East drags on. The conflict has cost India approximately $25 billion per month due to

elevated crude prices, plus comparable costs for LNG and LPG. The government has already begun cutting discretionary spending and postponing defense purchases to meet its fiscal targets.

Relations with China have stabilized

Border tensions with China have de-escalated, and President Xi Jinping struck a warm tone during his meeting with Modi at the BRICS summit. However, China continues to disrupt the shift of supply chains to India in areas like electronics, electric vehicles, batteries, and solar cells. This includes expanding export controls, prohibiting Chinese technicians from traveling to India, and denying visas to Indian technicians seeking to visit China. Beijing has proposed a bilateral investment framework to stabilize economic ties, but this faces resistance from India's security establishment.

Key Watch Items

1.
Uttar Pradesh election in February: Whether the BJP can hold its single-party majority in the state assembly.
2.
December FTA signings: Conclusion of the Canada and EU deal; framework announcement with the US.
3.
Section 301 investigations: Final US tariff schedules for India, China, and Vietnam will determine when a full India-US FTA can be completed.
4.
Middle East conflict duration: Fiscal deficit targets are manageable till the end of the year; prolonged conflict into 2027 would stress the budget materially.
5.
BJP’s electoral coalition: Whether Hindu upper castes continue voting against the ruling party in northern India in upcoming state elections.
6.
Power sector reform: A bill to introduce market-based electricity pricing remains shelved until oil prices calm.

What Clients Are Asking

Farmers agitating: Clients asked whether farmers could join the protests over electoral rolls. The speaker assessed farmer mobilization is limited to Punjab and Haryana, driven by input cost grievances rather than electoral roll politics.

Rupee management: Clients asked about currency weakness and the sustainability of the Reserve Bank of India (RBI)’s intervention. The speaker noted that the RBI was spending approximately $10 billion per week to defend the rupee. He assessed that political pressure on the RBI to shore up the currency is real but is likely to diminish after the February state elections.

Fuel subsidies and budget impact: Clients asked whether energy subsidies were materially affecting the fiscal outlook. The speaker noted that spot-market LNG and LPG purchases have tapered off, monsoon-driven fertilizer demand has eased, and refinery export margins are generating significant offsetting revenue; the fiscal targets are broadly on track unless the Middle East conflict extends well into 2027.

Reforms pipeline: Clients asked about business reforms under consideration. The speaker identified deregulation—cutting regulatory complexity in taxation and bankruptcy proceedings — as the government's current priority.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

Pramit Chaudhuri
Practice Head, South Asia
chaudhuri.ne@eurasiagroup.net
EG South Asia
southasia@eurasiagroup.net

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